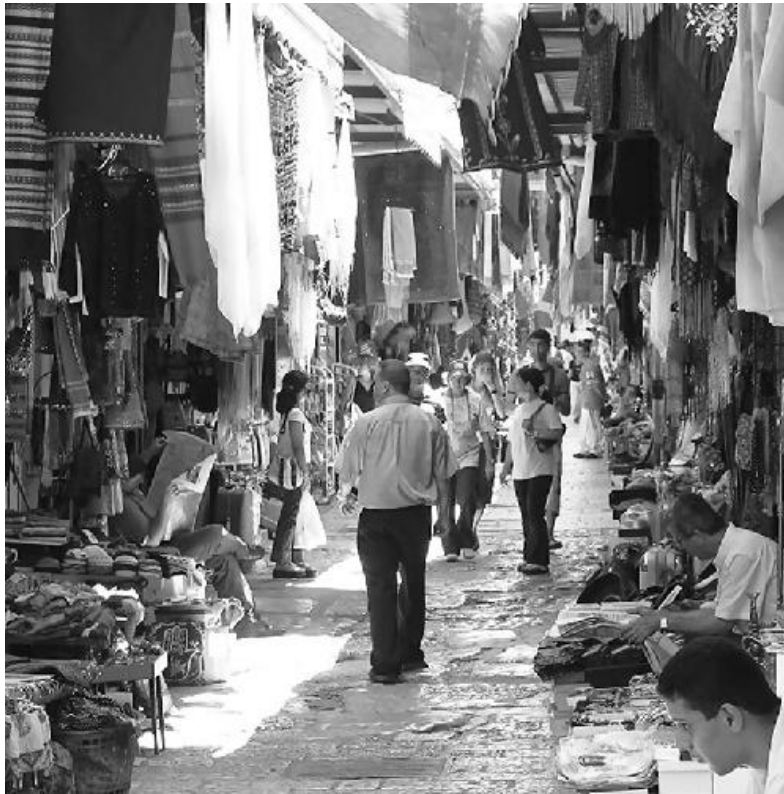


Perfect competition



A perfectly competitive market is one with so many buyers and sellers that no one of them can influence the price. In this kind of market, everyone sells exactly the same good – perhaps a commodity like corn or salt. If I buy some corn, then because there are so many buyers my purchase is a drop in the ocean of overall sales and will not influence the price. If a seller raises her price, no one will buy from her, and if a buyer tries to pay less than market price, the seller will find another customer. Buyers and sellers are therefore ‘price takers’.

Another important requirement for perfect competition is that any firm can enter the market and compete for business with existing firms – for example, there must be no legal restrictions or difficult technological requirements to prevent firms from entering. Economic theory says that perfectly competitive markets encourage efficient use of resources, but of course

many markets fall far from this ideal, containing monopolies or significant entry barriers.